

Chapter 10

Flat Price Trading and Financial Contracts

Futures, forwards, and swaps — the instruments that turn price into a tradable contract

Trading price, not barrels

1M+

More than a million WTI futures and options contracts trade every day — each one 1,000 barrels. That is over a billion barrels of paper oil daily against roughly 100 million real ones. Almost all of it is price being traded, not crude being moved.

WTI contracts a day

Flat price is the outright price — Trading 'flat price' means taking a position on the absolute level of crude — long if you expect it to rise, short if you expect it to fall.

The contract is the vehicle — You rarely buy the barrel itself. You buy a financial contract whose value tracks the price of the barrel.

Three core instruments — Futures, forwards, and swaps are the building blocks that turn a price view into a tradable, hedgeable position.

What flat price means

The outright level — Flat price is simply the full dollar price of a barrel — say Brent at \$94 — as opposed to the difference between two prices.

Versus differentials — Differential or basis trading bets on the gap between two prices — one grade versus another, or one month versus the next — not the absolute level.

A directional view — A flat-price trade is a clean bet on direction. It carries the full exposure to everything that moves the market, from OPEC+ to the dollar.

The starting point — Flat price is the most basic position in the market. Every more complex strategy is built by combining or offsetting flat-price exposure.

Forwards — the original contract

The simplest agreement — A forward is a private deal to buy or sell a set quantity at a fixed price on a future date. It is the oldest and most basic financial contract.

Customized and bilateral — Terms are negotiated directly between two parties — any volume, grade, location, or date — and traded over the counter, not on an exchange.

Locks in a price — It removes uncertainty: both sides know today exactly what they will pay or receive later, whatever the market does in between.

The catch — Because it is bilateral, each side carries the risk that the other fails to perform — and the position is hard to exit before maturity.

Futures — the standardized contract

A forward, exchange-traded — A future is a forward made standard: fixed size, quality, and delivery, listed on an exchange such as ICE or CME.

Cleared and guaranteed — A clearing house stands between buyer and seller, so counterparty risk is removed and any position can be opened or closed in seconds.

Marked to market daily — Gains and losses are settled every day through margin, so exposure stays current and small rather than building up to expiry.

Deep liquidity — Standardization concentrates all interest into a few contracts, making futures the most liquid and transparent way to trade flat price.

Forwards versus futures

Customization vs standardization — A forward is tailored to your exact need; a future is a one-size contract that everyone trades the same way.

Private vs public — Forwards are bilateral and opaque; futures are exchange-traded with prices visible to the whole market.

Credit vs clearing — A forward leaves you exposed to your counterparty; a future replaces that with a clearing-house guarantee and daily margin.

Flexibility vs liquidity — Forwards win on precise fit; futures win on the ease, speed, and safety of getting in and out. Most flat-price trading happens in futures.

Swaps — exchanging price streams

The core idea — A swap is an agreement to exchange one price for another over time — typically a fixed price against a floating market price.

Fixed for floating — One side locks in a fixed price; the other pays whatever the market averages. They settle the difference, with no barrels changing hands.

Built for hedging — An airline or refiner can fix its cost for months ahead with a single swap, smoothing out price swings across the whole period.

The OTC workhorse — Swaps are mostly traded over the counter and dominate commodity risk management, though many are now centrally cleared after post-2008 reform.

How a swap works in practice

The setup — A refiner agrees to a one-year swap fixing Brent at \$90. The bank pays floating; the refiner pays fixed, on a set volume each month.

If prices rise — Say the market averages \$100. The bank pays the refiner the \$10 difference, offsetting the higher price it pays for physical crude.

If prices fall — Say the market averages \$80. The refiner pays the bank \$10 — but buys its physical crude cheaper, so its total cost still lands near \$90.

The outcome — Either way the refiner's effective price is fixed near \$90. The swap converted an uncertain cost into a known one.

Going long and going short

Long — Buying a contract in the expectation that price will rise. A long position profits as the market climbs and loses as it falls.

Short — Selling a contract you do not own, expecting price to fall. A short profits as the market drops — and, crucially, lets producers hedge.

Symmetry of the contract — For every long there is an equal short. Financial contracts let traders take either side with the same ease, which physical barrels never allow.

Leverage — Because only margin is posted, a small amount of capital controls a large position — amplifying both gains and losses.

The front month and rolling

The front month — The nearest-dated futures contract. When people say 'oil is at \$94 today', they mean the front-month flat price.

Expiry approaches — A financial trader who does not want to make or take delivery must exit before the contract expires.

Rolling the position — To keep exposure, the trader closes the expiring contract and opens the next month — 'rolling' the position forward.

The roll has a cost — Whether the next month is more expensive (contango) or cheaper (backwardation) means rolling either costs or earns money over time.

Why these contracts matter

Hedging — Producers, refiners, and consumers use futures and swaps to fix prices and protect margins against an uncertain market.

Speculation — Traders take flat-price positions to profit from a directional view, providing the liquidity that hedgers rely on.

Price discovery — The constant trading of these contracts is what produces the public, forward-looking price the whole industry references.

The double edge — The same leverage that makes these contracts efficient also makes them dangerous. Disciplined risk management is not optional — it is the job.

Conclusion — price made tradable

Flat price is the foundation — Trading the outright level of crude is the most basic position in the market, and the base on which everything else is built.

Three instruments, one purpose — Forwards, futures, and swaps all do the same job — fix or trade a future price — but differ in customization, clearing, and liquidity.

Paper serves the physical — These contracts exist so the real barrel can be hedged and priced. The paper market is vast precisely because that need is universal.

What to remember — Master flat price, long and short, and the three core contracts, and you hold the vocabulary for every strategy the rest of the market is built from.